September 10, 2026

EQUITY RESEARCH | COMPANY UPDATE

LANGSTON'S

Micron Technology, Inc.

MU NASDAQ

Buy	**$976.52** ▼ 4.99%	12M Price Target **$1150.00**	52-Week Range $147.61 – $1255.00	Market Cap $1.10T

MU: Memory Boom Meets CHIPS Act Tailwind, But Competition Circles

WHAT HAPPENED

- MU dropped ~5% today after Barron's flagged that an Intel-backed startup is targeting the memory-chip market. Translation: a new competitor with deep pockets (Intel) wants a slice of Micron's pie. This is more of a "sentiment scare" than a real near-term threat — building memory fabs takes years and billions — but at a $1T market cap, the stock is priced for perfection and any crack in the moat gets punished fast.
- Second headline worth noting: Motley Fool says MU is 1.6 percentage points from becoming the #2 DRAM player globally (passing SK Hynix would be huge). That's the bull case — market share gains + AI-driven HBM demand = pricing power.

WHY IT MATTERS

Today's drop is the market saying "wait, is the moat as wide as we thought?" — but here's the thing: Intel itself has been a mess in fabrication, so a startup they back is 3-5 years away from being competitive. Meanwhile, the aggressive put-buying at $980/$985/$990 strikes (unusual options volume 10x normal) tells me traders are hedging or betting on more downside into September expiration — this could keep pressure on the stock for the next 2-3 weeks. The bigger picture though: MU is one of the biggest beneficiaries of the CHIPS Act (they got $6.1B in federal grants) and the AI capex boom isn't slowing — HBM (high-bandwidth memory, the stuff that goes in Nvidia's AI chips) is sold out through 2027. So use weakness to build a position, don't chase strength.

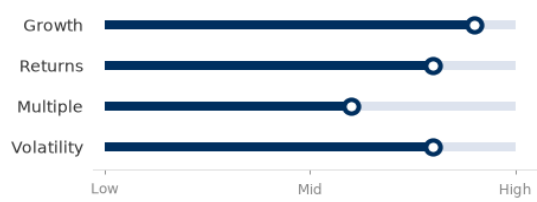
POLICY & POLITICAL WATCH

The CHIPS Act is the single biggest political tailwind for MU — they've locked in $6.1B in federal grants for new fabs in Idaho and New York, plus a 25% investment tax credit. Watch for any noise around the Trump administration renegotiating CHIPS Act terms (Commerce Sec Lutnick has hinted at wanting more equity stakes in exchange for grants) — that could be a short-term overhang. On the flip side, the escalating US-China chip export controls are actually GOOD for MU because they lock Chinese memory makers (YMTC, CXMT) out of advanced equipment, protecting Micron's tech lead.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$976.52**
12M Price Target	**$1150.00**
Upside / (Downside)	**+17.8%**
Market Cap	**$1.10T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$14.20**
FY2027E EPS	**$22.50**
Fwd P/E	**68.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1080.00**	$1000.00	**$900.00**
6 Months	**$1250.00**	$1100.00	**$850.00**
1 Year	**$1400.00**	$1150.00	**$800.00**
2 Years	**$1800.00**	$1400.00	**$750.00**
5 Years	**$2800.00**	$2000.00	**$900.00**
10 Years	**$4500.00**	$3000.00	**$1200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors (AI capex still ripping), Utilities (power demand from data centers), Industrials (fab construction beneficiaries) — all tied to the AI infrastructure buildout that Washington is subsidizing

COOLING OFF: Consumer Staples (-2.5% on the week), Real Estate, Financials — classic "risk-on" rotation as bond yields climb and defensive names lose appeal

ROTATION WATCH: Money is flowing OUT of defensives and INTO AI infrastructure plays, but today's tape shows some profit-taking at the top of the semi complex. When mega-cap semis wobble, watch if money rotates to smaller-cap AI names or exits the sector entirely.

RELATED PLAY: If MU's HBM story keeps working, the fab equipment makers (AMAT, LRCX, KLAC) also win because Micron's building three new fabs. Also watch data center power/cooling names (VRT, ETN).

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every HBM chip MU sells basically goes on a Nvidia GPU, so they're joined at the hip
- AVGO (Broadcom): Custom AI silicon wins with hyperscalers are driving huge upside

MU CONTEXT: MU has been LEADING the semi group in 2026 (up massively from the $147 low) but today's 5% drop suggests it's now more vulnerable to profit-taking than NVDA or AVGO. When the highest-beta name in a group cracks first, it's often a warning that the sector needs a breather — but pullbacks in leaders have been buyable all year.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Bullish on the structural HBM/AI story and CHIPS Act tailwind, but the valuation leaves no margin for error and today's competitive news is a yellow flag

POSITION SIZE: 3-5% of portfolio — enough to matter if the AI thesis keeps working, small enough to survive a memory cycle downturn

ENTRY POINTS: I'd add on pullbacks to $920-960 (the pre-breakout base) and get more aggressive below $900 if it gets there on macro fear, not company-specific bad news

TIME HORIZON: 12-24 months — catalyst is next earnings (late September) where HBM guidance for 2027 will move the stock, plus continued CHIPS Act grant milestones

WHEN TO BAIL: If HBM pricing shows signs of rolling over, if a hyperscaler cuts capex guidance, or if the Intel-backed startup announces a real customer win — those are the tells that the moat is cracking

HEDGING: Simplest hedge is buying protective puts (basically insurance) at the $900 strike for 2-3 months out, or pair the long MU with a small short in the semiconductor ETF (SOXX) if you want to isolate MU's outperformance vs the sector